2. Generating returns from REITs

There are two ways investors can earn returns from investing in REITs.

1. Capital Appreciation

Just like stocks, the price of REIT units can fluctuate based on the performance of the underlying real estate assets and market demand. When a REIT performs well, and its properties appreciate in value, the price of its units tends to rise. Investors can then sell their units at a higher price, thereby realising capital gains.

2. Dividend and Interest Payouts

Rental Income

(Management Fees + Maintenance Charges + Depreciation)

Net Rental Income

Distributed as Dividend

REITs are mandated by regulatory bodies, to distribute at least 90% of their net rental income as dividends and interest to investors. These distributions are primarily funded by the net rental income generated from the properties owned by the REIT.

Net Rental Income refers to income that a REIT receives by renting out and leasing Real Estate after the deduction of some key expenses related to the management and maintenance of the facilities like management fees, depreciation, maintenance charges, etc.